FINANCIAL ANNEX TO THE DISTRIBUTION PROPOSAL

What the four requests return to MicroAire.

The proposal asks MicroAire for four things. This document answers the only question that matters about them: what they cost, what they return, how quickly, what could go wrong, and what happens if MicroAire does nothing instead. The subject of every calculation here is MicroAire, not ACT.

Prepared by **ACT Soluciones Médicas SAS**, Bogotá, for MicroAire Surgical Instruments, A Marmon | Berkshire Hathaway Company. Historical purchase figures are MicroAire's own. Every internal MicroAire cost is an estimate, listed with its basis in section 16.

01 · EXECUTIVE SUMMARY

One page, before the arithmetic

INDICATOR	VALUE
NPV to MicroAire, five years at 10%	USD 183,104
Internal rate of return	70.0%
Payback period	2.2 years
Benefit / cost ratio	1.68
Growth needed to break even	19%
Growth actually delivered 2024 to 2025	**48%**

· **The channel already grew 48% in one year** without any of the four requests, from USD 352,451 to USD 522,500.

· **The support costs MicroAire about USD 60,384 a year** plus a one-off USD 42,000, and returns USD 632,997 of incremental gross profit over five years.

· **Break-even sits at USD 100,640 of additional annual purchases**, roughly 19% above the committed floor.

· **The case is positive at any MicroAire gross margin above 35.7%.**

· **The case fails if growth runs at half the modelled rate.** That boundary is stated in section 11 rather than hidden.

02 · THE SITUATION

Why this is being asked now

· **The cost of money rose sharply.** The policy rate moved from 9.25% to 12.00% inside a single year and held there. At that level a surgeon does not decline the equipment, he defers it, and a deferral is indistinguishable from a lost sale until too late.

· **The peso appreciated,** making the equipment roughly 17% cheaper in local terms. It did not help, because the constraint was never the price.

· **Service remained unresolved.** With no certified station in the country, an out-of-service handpiece is an idle theatre, and that cost attaches to the brand rather than the distributor.

THE PROBLEM IN ONE LINE

The binding constraint on MicroAire's Colombian revenue is not demand, price or the exchange rate. It is **financing at the point of decision and service after the sale**. Neither is a manufacturing problem, and neither can be solved by the distributor alone.

03 · THE EVIDENCE

The channel already grew 48% without any of this

MICROAIRE ORDER BOOK	2024	2025	CHANGE
Purchases, USD	352,451	522,500	+48%
Consoles placed	13	22	+69%
Handpieces	21	31	+48%
Cables	64	87	+36%

WHY THIS FIGURE COMES FIRST

That growth happened with **no certified service station, no credit line, no training programme and no congress support**. It is the closest thing available to a controlled result: it shows what the channel does unaided.

It also makes the commitment checkable. ACT commits to a floor of **USD 526,000**; actual 2025 purchases were **USD 522,500**. The two are **0.7% apart**, and MicroAire can verify it without taking anyone's word for it.

04 · OPTIONS CONSIDERED

Three courses of action, priced

OPTION	WHAT IT MEANS	NPV TO MICROAIRE
A · Continue as is	No exclusivity, no support. Revenue holds at the floor and both constraints remain.	0
B · Exclusivity alone	Sole distributor but none of the four requests. Structure improves, constraint does not move.	(43,306)
C · Exclusivity with the four requests	The proposal as written, against a committed floor.	183,104

WHY OPTION B IS THE INTERESTING ONE

Granting exclusivity while withholding the support is the middle path, and the one that looks safest from a distance. The model says it is the worst of the three: it incurs the transition while leaving untouched the two things actually suppressing revenue.

If MicroAire is not prepared to fund the four requests, **option A is a more coherent decision than option B**.

05 · THE MODEL

MicroAire's cash flow, year by year

YEAR	SUPPORTED	ABOVE FLOOR	GROSS PROFIT	COST	NET
Year 1	604,900	78,900	47,340	(56,910)	(9,570)
Year 2	683,537	157,537	94,522	(58,978)	35,544
Year 3	738,220	212,220	127,332	(60,416)	66,916
Year 4	797,278	271,278	162,767	(61,969)	100,797
Year 5	861,060	335,060	201,036	(63,647)	137,389
Five-year total		**1,054,994**	**632,997**	**(301,920)**	**331,076**

Year 0 carries the one-off outlay of USD 42,000 to certify the service station. The floor of USD 526,000 is held flat across all five years, so every dollar above it is incremental.

YEAR ONE IS NEGATIVE, AND WE ARE SHOWING IT

Net to MicroAire in year one is **(9,570)**. A programme just switched on does not run at capacity, and we would rather you see it here than discover it in a quarterly review. It turns positive in year two and does not look back.

06 · BREAK-EVEN

What has to be true for this to pay for itself

THE SUPPORT PAYS FOR ITSELF HERE

The four requests cost an average of **USD 60,384** a year. At a 60% gross margin they are repaid by **USD 100,640** of additional annual purchases.

Against a floor of USD 526,000 that is an increase of **19%**. The channel delivered 48% between 2024 and 2025 with none of this support in place.

07 · WHAT ACT PUTS IN

Why MicroAire's outlay is this small

ACT'S OWN COMMITMENT, PER YEAR	USD
Receivable ACT funds to extend credit to surgeons	198,871
Annual cost of carrying it at 15%	29,831
Exposure to a 10% adverse currency move	19,887
Total ACT, before infrastructure	**49,718**
Total MicroAire, all four requests	60,384

THE COMPARISON THAT MATTERS

For every dollar MicroAire puts into this arrangement, **ACT puts in 0.82**, before counting the sales teams in five cities, the brand's site in this market, the congress stand ACT designs and staffs, or the service partner already prepared.

ACT also commits to the floor of USD 526,000 **whether or not the four requests are granted**. The commitment is not conditional on the support.

08 · THE INSTALLED BASE

A console is not a sale, it is an annuity

MicroAire's 2025 figures show the pattern directly: 22 consoles pulled 87 cables and 31 handpieces behind them in the same year.

PER CONSOLE PLACED	USD
Purchases in the year of placement, 2025	23,750
Lifetime purchases, 5 year assumption	94,315
Lifetime gross profit to MicroAire	**56,589**

A single additional console placement returns **USD 56,589** of gross profit across its life, which is why break-even is as low as it is. It is also the argument against competing on entry price: the money is in the base, not in the box.

09 · SENSITIVITY

How the case holds under other assumptions

SCENARIO	NPV, USD	IRR
Growth at half the assumed rate	(43,306)	-9.2%
Base case as modelled	183,104	70.0%
Growth 25% lower than assumed	69,899	35.3%
Gross margin 50% rather than 60%	107,634	47.5%
Gross margin 70% rather than 60%	258,574	91.2%

THE ASSUMPTION THAT CARRIES THE MOST WEIGHT, SOLVED BACKWARDS

The 60% gross margin is our estimate and we cannot verify it. So rather than defend it, we solved for the point where it stops working.

This case is positive at any MicroAire gross margin above 35.7%. If your true figure is above that, the conclusion holds whatever else you adjust. If it is below, tell us and we will withdraw the model rather than argue with it.

THE CASE THAT FAILS, STATED PLAINLY

At half the assumed growth the NPV is negative. That row is not hidden, because it is the honest boundary of this proposal. The four requests are not a subsidy that pays off regardless: they pay off if the channel grows at roughly half the rate it grew in 2025 or better. That is the condition, and it is the one worth arguing about.

10 · RISKS AND MITIGATIONS

What could go wrong, and what absorbs it

RISK	MITIGATION
Rates stay high longer	The 180-day terms are the hedge: ACT carries the surgeon regardless of

	the policy rate.
Peso reverses	The commercial answer is packaging rather than discounting, so list price is never surrendered.
Service centre delayed	Partner identified and compared; the one-off cost is confirmed, not estimated.
Transition friction	Not ACT's to resolve. It is on the list of questions put back to MicroAire in the proposal.
ACT execution capacity	Sales teams already operate in five cities; the floor is committed with no new hiring assumed.
Assumptions wrong	Every assumption is listed with its basis, and the model is supplied so MicroAire can rerun it.

11 · IMPLEMENTATION

What happens, and when

WHEN	MILESTONE
On decision	Exclusivity confirmed and dated. Everything below hangs from this date.
+30 days	Terms in force, so ACT can quote credit to surgeons in the same quarter.
+90 days	Training calendar published with faculty confirmed, ahead of congress season.
Q1 2027	Local certified service centre operational. Repair turnaround to three to five days.
2027	SYNERGY consolidation, with training, congresses and speakers pointed at it.

12 · TERM AND PERFORMANCE

How long, and what happens if ACT misses

The model runs five years, so ACT is asking for a **five-year exclusive agreement** for the PAL line in Colombia. A shorter term does not work: the service station, the training calendar and the university programme all pay back beyond year two, and no distributor finances a five-year build on a one-year agreement.

> **PROPOSED PERFORMANCE CONDITION**
>
> Exclusivity reviewable at the end of any contract year in which ACT's purchases fall below **90% of the committed floor**, measured against MicroAire's own order records and reported quarterly.
>
> ACT is comfortable proposing that because it was modelled: at 90% of the floor the arrangement still returns **USD 18,185** of net present value to MicroAire.
>
> ACT asks one reciprocal condition: that any review consider whether the four requests were in place and operating during the year in question.

13 · ASSUMPTIONS

Everything we had to assume, with its basis

ASSUMPTION	VALUE	BASIS
MicroAire gross margin on OUS list price	60%	Industry norm. Replace with your figure.
Discount rate applied to the cash flows	10%	Conventional hurdle rate.
Additional days of payment terms requested	120 days	As requested in the proposal.
Cost of capital applied to working capital	8%	Applied to the receivable those days create.
Certifying the service station, one-off	USD 42,000	Confirmed against the local partner quotation.
Sustaining the service station, per year	USD 6,000	Recurring technical support and recertification.
Training programme: course slots and faculty, per year	USD 15,000	Faculty time and course places, not cash transfers.
Speakers and course slots at congresses, per year	USD 20,000	Speaker travel and course slots at existing meetings.

Years a console keeps generating consumable revenue	5 years	Deliberately short. A longer life raises every figure.

WHAT IS FACT AND WHAT IS ESTIMATE

Fact: the 2024 and 2025 purchase totals, the unit counts, and the component list prices. All are MicroAire's own records.

Estimate: every MicroAire internal cost above, and the gross margin. Nothing else in this document is invented.

14 · THE DECISION REQUESTED

What we are asking MicroAire to approve

Option C: recognise ACT as sole distributor for the PAL line in Colombia for five years, and fund the four requests, against a committed floor of USD 526,000, quarterly reporting, and the performance condition in section 12.

THE EXPOSURE, IN ONE SENTENCE

MicroAire's total downside is the one-off USD 42,000 plus roughly USD 60,384 a year, visible quarterly and reviewable annually. The modelled upside is **USD 183,104** of net present value and **USD 1,054,994** of incremental purchases across five years.

We are not asking MicroAire to take a risk on an unknown partner in an unfamiliar market. We are asking it to fund four specific things in a channel that grew 48% without them.

Sources. Purchase history 2024 and 2025: MicroAire order records, provided to ACT. Component pricing: MicroAire PAL Synergy Sales Kits list, 14 April 2026, OUS list price. Every figure is computed in USD; no Colombian peso price enters the calculation. Policy and exchange rates: Banco de la República, to 5 August 2026.

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